

**SCHWARTZ
PAGE &
HARDING**

August 10, 2026

VIA ELECTRONIC MAIL

EMAIL REDACTED

Mr. Tomas Alvarez

ADDRESS REDACTED

Re: Public Information Act ("PIA") Request received August 3, 2026; Grand Lakes Municipal Utility District No. 2 (the "District")

Dear Mr. Alvarez:

Grand Lakes Municipal Utility District No. 2 (the "District") is in receipt of your email correspondence received by the District on August 3, 2026 (the "Request").

The Request (Exhibit A) is seeking:

1. "The updated 2026 Rate Order Study presented to the Board of Directors on June 15, 2026, and attached to the approved minutes of that meeting as Exhibit E (referenced in the minutes under "Municipal Information Services EVO Rate Analysis Report"), including any appendices, schedules, and rate-design alternatives.
2. Any draft amendment to the District's Rate Order, and any consultant recommendations or presentation materials concerning water or wastewater rates, prepared for or presented at the special meeting of August 3, 2026 (Agenda Item 4).
3. The proposed operating budget for fiscal year ending August 31, 2027 (Exhibits A and B to the August 3, 2026 agenda), in the form considered by the Board.
4. The most recent water and wastewater cost-of-service analysis, if separate from Item 1."

Responsive information is attached at Exhibit B.

Note that the PIA does not require governmental entities to answer factual questions, conduct legal research, or create new information in responding to a request. *See* Open Records Decision Nos. 563 at 8 (1990), 555 at 1-2 (1990).

SCHWARTZ, PAGE & HARDING, L.L.P.

By: 

Christopher T. Skinner
Attorney for the District

From: [TOMAS ALVAREZ](#)
To: [glmud2PIA](#)
Subject: Fw: public information formal request
Date: Monday, August 3, 2026 6:01:16 PM

Get [Outlook for iOS](#)

From: TOMAS ALVAREZ
Sent: Sunday, 02 August 2026 18:28:28
To: info@mdswater.com <info@mdswater.com>
Subject: public information formal request

Tomas Alvarez

ADDRESS & EMAIL REDACTED

August 2, 2026

Grand Lakes Municipal Utility District No. 2
c/o Schwartz, Page & Harding, L.L.P.
1300 Post Oak Boulevard, Suite 2400
Houston, Texas 77056

Re: Public Information Request — Texas Public Information Act, Tex. Gov't Code ch. 552

To the Public Information Officer:

Under the Texas Public Information Act, I request copies of the following public records of Grand Lakes Municipal Utility District No. 2:

1. The updated 2026 Rate Order Study presented to the Board of Directors on June 15, 2026, and attached to the approved minutes of that meeting as Exhibit E (referenced in the minutes under "Municipal Information Services EVO Rate Analysis Report"), including any appendices, schedules, and rate-design alternatives.
2. Any draft amendment to the District's Rate Order, and any consultant recommendations or presentation materials concerning water or wastewater rates, prepared for or presented at the special meeting of August 3, 2026 (Agenda Item 4).
3. The proposed operating budget for fiscal year ending August 31, 2027 (Exhibits A and B to the August 3, 2026 agenda), in the form considered by the Board.
4. The most recent water and wastewater cost-of-service analysis, if separate from Item 1.

I request these records in electronic form (PDF by email to the address above), which should minimize or eliminate any charge. If any portion is withheld, please cite the specific exception claimed and release the remainder, as the Act requires. If charges will exceed \$40, please

provide an itemized estimate before proceeding.

Please confirm receipt of this request. I understand the District must promptly produce public information, and in any event respond within ten business days.

Thank you for your assistance.

Sincerely,

Tomas Alvarez

District resident and ratepayer —

ACCOUNT REDACTED

EXHIBIT B



Grand Lakes MUD No. 2

Rate Order Study - 2026

Last Update: May 20, 2026

Reason: Implemented most recent Capital Improvement Plan

Observations: Improved Operating Reserves by a very small margin.

Current Rate Structure for Grand Lakes Municipal Utility District No. 2

*As described in the 10 year
Financial Operating Strategy



RESIDENTIAL RATE STRUCTURE

Water	Usage (In Gallons)	Price per 1,000 Gallons
Base	10,000	\$25.00
Tier 1	10,001 – 20,000	\$1.00
Tier 2	20,001 – 50,000	\$2.00
Tier 3	>50,000	\$3.00
Sewer		
Base	Unlimited	\$20.00/Flat



COMMERCIAL RATE STRUCTURE

Water	Usage (In Gallons)	Price per 1,000 Gallons
Base	10,000	\$5.00
Tier 1	>10,000	\$1.50
Sewer		
Base	10,000	\$5.00
Tier 1	>10,000	\$1.50

TOTAL BILL BY USAGE

Usage	# of Meters	Current Water	Current Sewer	Current Total Bill
< 6,000	38	\$25.00	\$20.00	\$45.00
6k-10k	142	\$25.00	\$20.00	\$45.00
10k-15k	200	\$28.00	\$20.00	\$48.00
15k-20k	158	\$33.00	\$20.00	\$53.00
20k-25k	84	\$39.00	\$20.00	\$59.00
25k-30k	37	\$51.00	\$20.00	\$71.00
30k-40k	11	\$67.00	\$20.00	\$87.00
40k-50k	4	\$95.00	\$20.00	\$115.00
> 50k	5	\$113.00	\$20.00	\$133.00

TOTAL BILL BY CUSTOMER

Customer	Average Usage	Current Water	Current Sewer	Current Total Bill
Walgreens	2,000	\$5.00	\$5.00	\$10.00
Firestone	13,300	\$11.00	\$11.00	\$22.00
Chase Bank	28,200	\$33.50	\$33.50	\$67.00
McDonalds	41,800	\$53.00	\$53.00	\$106.00
Jason's Deli	51,900	\$68.00	\$68.00	\$136.00
Strip Center	67,800	\$92.00	\$92.00	\$184.00
Home Depot	95,800	\$134.00	\$134.00	\$268.00
Elementary School	136,000	\$194.00	\$194.00	\$388.00
Car Wash	146,000	\$209.00	\$209.00	\$418.00

CURRENT RATE STRUCTURE OBSERVATIONS

The above is your current rate structure. Historically, your residents have benefitted from greatly reduced service rates, as the District has subsidized, or waived, water, sewer, garbage, security, street lighting, irrigation and mosquito spraying service fees. This was possible due to large amounts of Sales Tax revenue. As this revenue stream has declined, there is an urgent need to restructure the Rate Order to generate enough revenue to cover Operating expenses, pass through service fees to Residents & pay for capital infrastructure projects.

For the purpose of this study, 'Unfunded Expenses' are the annual total of the services described above.

In the recent election, voters did not authorize the bond funding that would have allowed the District to finance these improvements over a 20–30 year period. Because the need for these projects remain, the District must now fund them through operating revenue rather than long-term financing.

REVENUE & PROJECTIONS
BASED ON
CURRENT RATE STRUCTURE

2025 Total Service
Revenue
\$494,521

Unfunded
Expenses
\$1,511,585

5 Year Reserve
Projection

-38.1 months

10 Year
Reserve
Projection
-66.8 months



Grand Lakes Municipal Utility District No. 2

EVO 10-Year Financial Operating Strategy - FY 2025



What's in your **BASELINE**:

- Maintains a steady M&O tax rate of \$0.128
- Assumes a 3% annual increase in taxable value
- Assumes a 99% collection rate for M&O tax revenues
- Assumes a 4.0% average annual increase in garbage expenses and wastewater revenue, based on the 10-year average of historical CPI increases
- Assumes a 3.5% annual increase in other operating expenses
- Includes all Capital Improvement projects after an unsuccessful Bond Authorization election in May 2026

With no other adjustments, reserves fall to -66.79 months.



Sources used in this study:

- Revenue and expense data are based on the latest audit
- Beginning cash balance is derived from the latest audit and includes cash, money market, and certificate of deposit funds
- Taxable value & Tax rate are from the latest Tax Report from your Tax Assessor
- All Capital Projects are from your Capital Improvement Plan provided by your Engineer



Ending GOF Cash Balances:

\$5.96M \$538k -\$1.82M -\$5.24M -\$9.11M -\$12.8M -\$16.3M -\$18.9M -\$21.4M -\$23.6M -\$25.6M

Months of GOF Reserves:



High Level Observations Baseline



Immediate Action Required

In the recent election, voters did not authorize the bond funding that would have allowed the District to finance these improvements over a 20-30 year period. Because the need for these projects remains, the District must now fund them through operating revenue rather than long-term financing. Additionally, the District must take steps to restore service rates to make up the revenue short-fall introduced by the reduction of Sales Tax revenue. Over the last 6 years the District's supplementation of Water & Sewer, Garbage & Security revenue has resulted in an average of \$7,857 of savings per District household. This does not include savings introduced by an extremely reduced tax rate.

Recommendations:

- Immediate implementation of new Rate Order to restore balance of Revenues & Expenses in the General Operating Fund
- Elimination of non-essential expenses including reclaimed water irrigation, streetlighting and security. These expenses are traditionally covered by resident's HOA fees but were taken on by the MUD in a period of budget surplus.
- Consideration of a monthly Capital Base fee reflecting your resident's desire to pay for improvements with cash in lieu of long term bonds.

Proposed Rate Structure: Scenario 1

Grand Lakes Municipal Utility District No. 2

*As described in the 10 year Financial Operating Strategy

RESIDENTIAL RATE STRUCTURE

Water	Usage (In Gallons)	Price per 1,000 Gallons
Base	5,000	\$30.00
Tier 1	5,001 – 10,000	\$1.50
Tier 2	10,001 – 15,000	\$2.00
Tier 3	15,001 – 20,000	\$2.50
Tier 4	20,001 – 25,000	\$3.00
Tier 5	25,001 – 30,000	\$3.50
Tier 6	30,001 – 35,000	\$4.00
Tier 7	35,001 – 40,000	\$4.50
Tier 8	>50,000	\$5.00

Sewer	Usage (In Gallons)	Price per 1,000 Gallons
Scaled	0 – 10,000	\$55.00/Flat
	10,001 – 20,000	\$55.00/Flat
	20,001 – 30,000	\$60.00/Flat
	30,001 – 40,000	\$65.00/Flat
	40,001 – 50,000	\$70.00/Flat
	>50,001	\$75.00/Flat

COMMERCIAL RATE STRUCTURE

Water	Usage (In Gallons)	Price per 1,000 Gallons
Base	5,000	\$60.00
Tier 1	5,001 – 15,000	\$2.50
Tier 2	15,001 – 25,000	\$3.00
Tier 3	25,001 – 30,000	\$3.50
Tier 4	30,001 – 40,000	\$4.50

Sewer	Usage (In Gallons)	Price per 1,000 Gallons
Base	10,000	\$120.00
Tier 1	10,001 – 40,000	\$2.00
Tier 2	40,001 – 70,000	\$2.50
Tier 3	>70,001	\$3.00

TOTAL BILL BY USAGE

Usage	# of Meters	Proposed Water	Proposed Sewer	Proposed Total Bill
< 6,000	38	\$30.00	\$55.00	\$85.00
6k-10k	142	\$36.00	\$55.00	\$91.00
10k-15k	200	\$43.50	\$55.00	\$98.50
15k-20k	158	\$55.00	\$55.00	\$110.00
20k-25k	84	\$61.50	\$60.00	\$121.50
25k-30k	37	\$84.00	\$60.00	\$144.00
30k-40k	11	\$116.50	\$65.00	\$181.50
40k-50k	4	\$155.00	\$70.00	\$225.00
> 50k	5	\$210.00	\$75.00	\$285.00

TOTAL BILL BY CUSTOMER

Customer	Average Usage	Proposed Water	Proposed Sewer	Proposed Total Bill
Walgreens	2,000	\$60.00	\$120.00	\$180.00
Firestone	13,300	\$82.50	\$138.00	\$220.50
Chase Bank	28,200	\$129.00	\$158.00	\$358.00
McDonalds	41,800	\$178.00	\$185.00	\$363.00
Jason's Deli	51,900	\$218.00	\$225.00	\$443.00
Strip Center	67,800	\$282.00	\$250.00	\$532.00
Home Depot	95,800	\$394.00	\$333.00	\$727.00
Elementary School	136,000	\$554.00	\$473.00	\$1,027.00
Car Wash	146,000	\$594.00	\$503.00	\$1,097.00

Residential- For the water rates, this structure increases the base rate and includes 5,000 gallons of water. It introduces more tiers, meant to encourage water conservation & mindful usage. For sewer, the base rate is scaled based on total usage. The increased rate is designed to cover Garbage & Recycling annual expense.

Commercial- Historically commercial rates have been heavily subsidized by Sales Tax revenues. This structure corrects the existing imbalance between higher usage versus lower actual charges. These rates are on the lower end in comparison to other modernized Rate Orders in the Houston area. And are significantly lower than what they would pay in the cities of Houston & Fulshear.

Observations: Reclaimed Irrigation & Streetlighting has been returned to HOA & Security contracts have been cancelled. This coupled with the rate increase adds \$2.1M to the General Fund.

REVENUE & PROJECTIONS
BASED ON
SCENARIO 1

Projected Annual
Service Revenue
\$950,922

Unfunded
Expenses
\$0

5 Year Reserve
Projection
16.2 months

10 Year Reserve
Projection
10.3 months



Grand Lakes Municipal Utility District No. 2

EVO 10-Year Financial Operating Strategy - FY 2025



What's in SCENARIO 1:

- Maintains a steady M&O tax rate of \$0.128 & assumes a 99% collection rate
- Assumes a 3% annual increase in taxable value
- Assumes a 4.0% average annual increase in garbage expenses and wastewater revenue, based on the 10-year average of historical CPI increases
- Assumes a 3.5% annual increase in other operating expenses
- Includes \$950,922 of new Service revenue from restored Rate Order & \$1,156,000 of regained revenue from Irrigation, Streetlighting & Security.
- Includes \$3.3M of Capital projects funded by remaining bond authorization

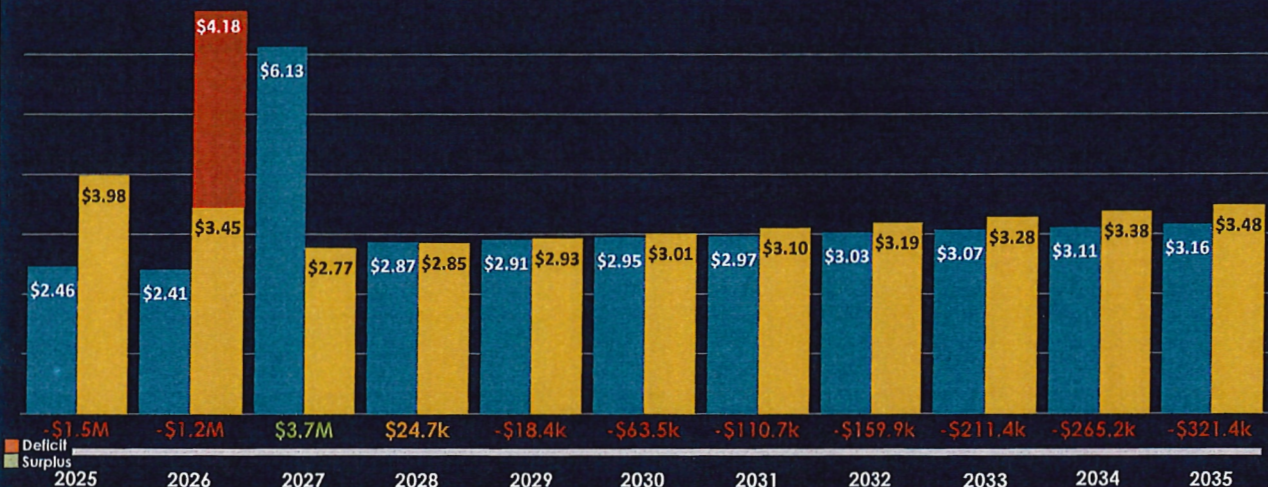
With no other adjustments, reserves rise to 10.3 months.



Sources used in this study:

- Revenue and expense data are based on the latest audit
- Beginning cash balance is derived from the latest audit and includes cash, money market, and certificate of deposit funds
- Taxable value & Tax rate are from the latest Tax Report from your Tax Assessor
- All Capital Projects are from your Capital Improvement Plan provided by your Engineer

Operating Revenue Operating Expense Capital Project Expense



Ending GOF Cash Balances:

\$5.96M \$742k 4.11M \$4.13M \$4.11M \$4.05M \$3.94M \$3.78M \$3.57M \$3.30M \$2.98M

Months of GOF Reserves:

19.0 months 2.6 months 17.8 months 17.4 months 16.9 months 16.2 months 15.3 months 14.2 months 13.1 months 11.7 months 10.3 months

High Level Observations Scenario 1



Immediate Attention Required

Scenario 1 is the result of the new rate structure introduced with your Restorative Rate Study & revenue gains from releasing the Irrigation, Streetlighting & Security expenses, resulting in \$456k and \$1.2M in revenue respectively beginning in fiscal year 2027. This scenario also assumes the remaining bond authorization will cover \$3.3M in capital projects. The new revenue fully funds Garbage and Recycling and makes up budgetary shortfalls for annual Operations, but still comes short of creating meaningful surplus of revenues over expenses. This scenario does not include any other CIP items beyond 2026, as the first priority is to restore balance to the General fund & establish 12 months of Operating reserves.

Recommendations:

- Implementation of a \$100 monthly Capital Base fee per connection in fiscal year 2027, reflecting your resident's desire to pay for improvements with cash in lieu of long term bonds.
- Second phase of rate increases to be implemented in 2028 to achieve 12 months of reserve coverage

Proposed Rate Structure: Scenario 2

Grand Lakes Municipal Utility District No. 2

*As described in the 10 year
Financial Operating Strategy

RESIDENTIAL RATE STRUCTURE

Water	Usage (In Gallons)	Price per 1,000 Gallons
Base	2,000	\$30.00
Tier 1	2,001 – 5,000	\$3.00
Tier 2	5,001 – 9,000	\$4.00
Tier 3	9,001 – 14,000	\$4.50
Tier 4	14,001 – 20,000	\$5.50
Tier 5	20,001 – 27,000	\$6.50
Tier 6	>27,001	\$7.50
Sewer	Usage (In Gallons)	Price per 1,000 Gallons
Base	0 – 5,000	\$55.00
Tier 1	5,001 – 8,000	\$1.50
Tier 2	8,001 – 15,000	\$2.00
Tier 3	15,001 – 20,000	\$2.50
Tier 4	20,001 – 25,000	\$3.00
Tier 5	>25,001	\$3.50

**Capital Project
Base Fee** \$100.00/ monthly per connection

COMMERCIAL RATE STRUCTURE

Water	Usage (In Gallons)	Price per 1,000 Gallons
Base	5,000	\$75.00
Tier 1	5,001 – 9,000	\$4.50
Tier 2	9,001 – 14,000	\$5.50
Tier 3	14,001 – 20,000	\$6.50
Tier 4	20,001 – 27,000	\$8.00
Tier 5	>27,000	\$9.50
Sewer	Usage (In Gallons)	Price per 1,000 Gallons
Base	5,000	\$120.00
Tier 1	5,001 – 8,000	\$2.50
Tier 2	8,001 – 15,000	\$3.00
Tier 3	15,001 – 20,000	\$3.50
Tier 4	20,001 – 25,000	\$4.50
Tier 5	>25,001	\$6.00

TOTAL BILL BY USAGE

Usage	# of Meters	Proposed Water	Proposed Sewer	Proposed Total Bill
< 6,000	38	\$39.00	\$55.00	\$194.00
6k-10k	142	\$58.00	\$59.50	\$217.50
10k-15k	200	\$68.50	\$65.50	\$234.00
15k-20k	158	\$104.00	\$84.00	\$288.00
20k-25k	84	\$123.50	\$92.00	\$315.50
25k-30k	37	\$163.50	\$111.50	\$375.00
30k-40k	11	\$223.50	\$139.50	\$463.00
40k-50k	4	\$291.00	\$177.00	\$568.00
> 50k	5	\$373.50	\$242.50	\$716.00

TOTAL BILL BY CUSTOMER

Customer	Average Usage	Proposed Water	Proposed Sewer	Proposed Total Bill
Walgreens	2,000	\$75.00	\$120.00	\$195.00
Firestone	13,300	\$107.00	\$145.50	\$252.50
Chase Bank	28,200	\$185.50	\$210.50	\$396.00
McDonalds	41,800	\$270.00	\$282.00	\$552.00
Jason's Deli	51,900	\$335.00	\$337.00	\$672.00
Strip Center	67,800	\$439.00	\$425.00	\$864.00
Home Depot	95,800	\$621.00	\$579.00	\$1,200.00
Elementary School	136,000	\$881.00	\$799.00	\$1,686.00
Car Wash	146,000	\$946.00	\$854.00	\$1,800.00

Residential- For the water rates, this structure maintains the \$30 base rate and includes 2,000 gallons of water. Like option 1, the tiers encourage water conservation & mindful usage. For sewer, the addition tiers are based on usage and that revenue helps support annual Operations & Maintenance and Repairs. The Capital Project Base Fee goes towards funding capital infrastructure projects.

Commercial- Historically commercial rates have been heavily subsidized by Sales Tax revenues. This structure corrects the existing imbalance between higher usage versus lower actual charges. These rates are on the lower end in comparison to other modernized Rate Orders in the Houston area. And are lower than what they would pay in the cities of Houston & Fulshear.

Observations: This option successfully creates annual surplus, however, like option 1, it leaves the District in a precarious Operating position with less than 10 months of Reserves from 2029 thru 2034.

REVENUE &
PROJECTIONS
BASED ON
SCENARIO 2

Projected Annual
Service Revenue
\$1,496,902

Capital Projects
Base Fee
Revenue
\$818,400

5 Year Reserve
Projection
5.3 months

10 Year Reserve
Projection
13.2 months



Grand Lakes Municipal Utility District No. 2

EVO 10-Year Financial Operating Strategy - FY 2025



What's in SCENARIO 2:

- Maintains a steady M&O tax rate of \$0.128 & assumes a 99% collection rate
- Assumes a 3% annual increase in taxable value
- Includes everything in Scenario 1.
- Includes \$526,962k of new Service revenue from second rate increase in 2028 & \$818,400 of Capital Projects Base Fee revenue.
- Includes remaining \$11M of Capital projects in your Capital Improvement Plan through 2034.

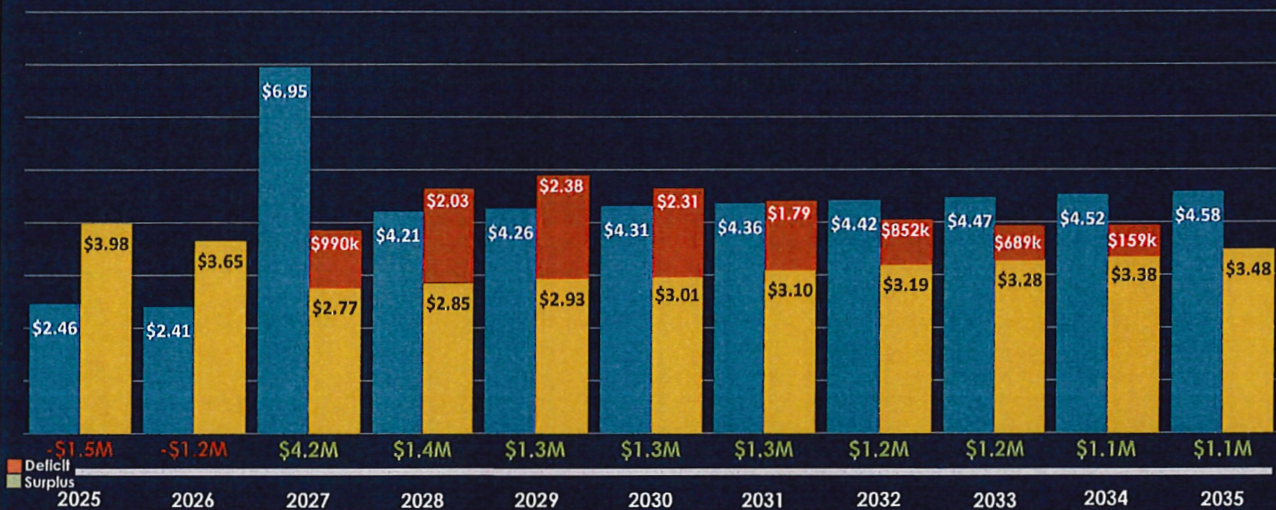
With no other adjustments, reserves settle at 13.2 months.



Sources used in this study:

- Revenue and expense data are based on the latest audit
- Beginning cash balance is derived from the latest audit and includes cash, money market, and certificate of deposit funds
- Taxable value & Tax rate are from the latest Tax Report from your Tax Assessor
- All Capital Projects are from your Capital Improvement Plan provided by your Engineer

Operating Revenue Operating Expense Capital Project Expense



Ending GOF Cash Balances:

\$5.96M \$537k \$3.73M \$3.13M \$2.11M \$1.32M \$810k \$1.20M \$1.72M \$2.72M \$3.82M

Months of GOF Reserves:



High Level Observations Scenario 2



Immediate Attention Required

Scenario 2 is the addition of \$818,000 generated by the introduction of a Capital Projects Base Fee of \$100 per connection per month in fiscal year 2027, as well as \$526,962 of service revenue generated from the second rate increase beginning in 2028. This scenario includes the remaining \$11M of projects in your Capital Improvement Plan, but does not account for any unplanned emergency repairs or replacements that may occur in the forecast period. Despite annual surpluses, with no additional revenue streams, the cost of critical capital infrastructure projects quickly reduce Operating reserves beginning in 2029 resulting in the District having less than 12 months of reserves for 6 consecutive years and building back to 13.2 months by 2035.

Recommendations:

- Continue to seek support within the District for a successful Bond Authorization Election
- If Bond Authorization isn't successful, planned annual increases of Capital Base fees passed to your residents will be unavoidable



Grand Lakes Municipal Utility District No. 2

EVO 10-Year Financial Operating Strategy - FY 2025



What's in your **BASELINE**:

- Maintains a steady M&O tax rate of \$0.128
- Assumes a 3% annual increase in taxable value
- Assumes a 99% collection rate for M&O tax revenues
- Assumes a 4.0% average annual increase in garbage expenses and wastewater revenue, based on the 10-year average of historical CPI increases
- Assumes a 3.5% annual increase in other operating expenses
- Includes all Capital Improvement projects after an unsuccessful Bond Authorization election in May 2026

With no other adjustments, reserves fall to -68.55 months.



Sources used in this study:

- Revenue and expense data are based on the latest audit
- Beginning cash balance is derived from the latest audit and includes cash, money market, and certificate of deposit funds
- Taxable value & Tax rate are from the latest Tax Report from your Tax Assessor
- All Capital Projects are from your Capital Improvement Plan provided by your Engineer



Ending GOF Cash Balances:

\$5.96M \$31k -\$2.33M -\$5.79M -\$9.69M -\$13.4M -\$16.9M -\$19.5M -\$22.1M -\$24.2M -\$26.3M

Months of GOF Reserves:

19.0 months 0.9 months -7.5 months -18.2 months -29.5 months -39.9 months -49.0 months -55.2 months -60.8 months -64.9 months -68.6 months

2025 2026 2027 2028 2029 2030 2031 2032 2033 2034 2035

High Level Observations Baseline



Immediate Action Required

In the recent election, voters did not authorize the bond funding that would have allowed the District to finance these improvements over a 20-30 year period. Because the need for these projects remains, the District must now fund them through operating revenue rather than long-term financing. Additionally, the District must take steps to restore service rates to make up the revenue short-fall introduced by the reduction of Sales Tax revenue. Over the last 6 years the District's supplementation of Water & Sewer, Garbage & Security revenue has resulted in an average of \$7,857 of savings per District household. This does not include savings introduced by an extremely reduced tax rate.

Recommendations:

- Immediate implementation of new Rate Order to restore balance of Revenues & Expenses in the General Operating Fund
- Elimination of non-essential expenses including reclaimed water irrigation, streetlighting and security. These expenses are traditionally covered by resident's HOA fees but were taken on by the MUD in a period of budget surplus.
- Consideration of a monthly Capital Base fee reflecting your resident's desire to pay for improvements with cash in lieu of long term bonds.

Current Rate Structure for Grand Lakes Municipal Utility District No. 2

*As described in the 10 year
Financial Operating Strategy



RESIDENTIAL RATE STRUCTURE

Water

	Usage (In Gallons)	Price per 1,000 Gallons
Base	10,000	\$25.00
Tier 1	10,001 – 20,000	\$1.00
Tier 2	20,001 – 50,000	\$2.00
Tier 3	>50,000	\$3.00

Sewer

	Usage (In Gallons)	Price per 1,000 Gallons
Base	Unlimited	\$20.00/Flat



COMMERCIAL RATE STRUCTURE

Water

	Usage (In Gallons)	Price per 1,000 Gallons
Base	10,000	\$5.00
Tier 1	>10,000	\$1.50

Sewer

	Usage (In Gallons)	Price per 1,000 Gallons
Base	10,000	\$5.00
Tier 1	>10,000	\$1.50

TOTAL BILL BY USAGE

Usage	# of Meters	Current Water	Current Sewer	Current Total Bill
< 6,000	38	\$25.00	\$20.00	\$45.00
6k-10k	142	\$25.00	\$20.00	\$45.00
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15k-20k	158	\$33.00	\$20.00	\$53.00
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25k-30k	37	\$51.00	\$20.00	\$71.00
30k-40k	11	\$67.00	\$20.00	\$87.00
40k-50k	4	\$95.00	\$20.00	\$115.00
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TOTAL BILL BY CUSTOMER

Customer	Average Usage	Current Water	Current Sewer	Current Total Bill
Walgreens	2,000	\$5.00	\$5.00	\$10.00
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Chase Bank	28,200	\$33.50	\$33.50	\$67.00
McDonalds	41,800	\$53.00	\$53.00	\$106.00
Jason's Deli	51,900	\$68.00	\$68.00	\$136.00
Strip Center	67,800	\$92.00	\$92.00	\$184.00
Home Depot	95,800	\$134.00	\$134.00	\$268.00
Elementary School	136,000	\$194.00	\$194.00	\$388.00
Car Wash	146,000	\$209.00	\$209.00	\$418.00

CURRENT RATE STRUCTURE OBSERVATIONS

The above is your current rate structure. Historically, your residents have benefitted from greatly reduced service rates, as the District has subsidized, or waived, water, sewer, garbage, security, street lighting, irrigation and mosquito spraying service fees. This was possible due to large amounts of Sales Tax revenue. As this revenue stream has declined, there is an urgent need to restructure the Rate Order to generate enough revenue to cover Operating expenses, pass through service fees to Residents & pay for capital infrastructure projects.

For the purpose of this study, 'Unfunded Expenses' are the annual total of the services described above.

In the recent election, voters did not authorize the bond funding that would have allowed the District to finance these improvements over a 20-30 year period. Because the need for these projects remain, the District must now fund them through operating revenue rather than long-term financing.

REVENUE & PROJECTIONS BASED ON CURRENT RATE STRUCTURE

2025 Total Service
Revenue

\$494,521

Unfunded
Expenses

\$1,511,585

5 Year Reserve
Projection

-39.9 months

10 Year
Reserve
Projection

-68.6 months



Grand Lakes Municipal Utility District No. 2

EVO 10-Year Financial Operating Strategy - FY 2025



What's in **SCENARIO 1**:

- Maintains a steady M&O tax rate of \$0.128 & assumes a 99% collection rate
- Assumes a 3% annual increase in taxable value
- Assumes a 4.0% average annual increase in garbage expenses and wastewater revenue, based on the 10-year average of historical CPI increases
- Assumes a 3.5% annual increase in other operating expenses
- Includes \$950,922 of new Service revenue from restored Rate Order & \$1,156,000 of regained revenue from Irrigation, Streetlighting & Security.
- Includes \$3.3M of Capital projects funded by remaining bond authorization

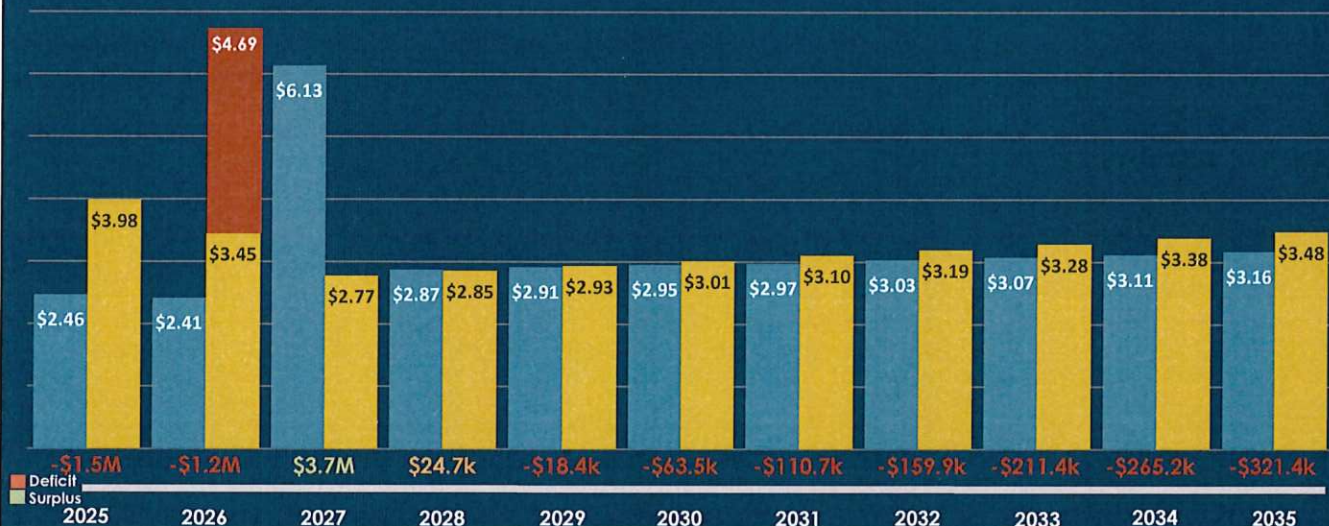
With no other adjustments, reserves rise to 8.5 months.



Sources used in this study:

- Revenue and expense data are based on the latest audit
- Beginning cash balance is derived from the latest audit and includes cash, money market, and certificate of deposit funds
- Taxable value & Tax rate are from the latest Tax Report from your Tax Assessor
- All Capital Projects are from your Capital Improvement Plan provided by your Engineer

■ Operating Revenue ■ Operating Expense ■ Capital Project Expense



Ending GOF Cash Balances:

\$5.96M \$235k 3.60M \$3.63M \$3.61M \$3.54M \$3.43M \$3.27M \$3.06M \$2.80M \$2.48M

Months of GOF Reserves:

19.0 months 0.8 months 15.7 months 15.3 months 14.8 months 14.1 months 13.3 months 12.3 months 11.2 months 9.9 months 8.5 months

High Level Observations Scenario 1



Immediate Attention Required

Scenario 1 is the result of the new rate structure introduced with your Restorative Rate Study & revenue gains from releasing the Irrigation, Streetlighting & Security expenses, resulting in \$456k and \$1.2M in revenue respectively beginning in fiscal year 2027. This scenario also assumes the remaining bond authorization will cover \$3.3M in capital projects. The new revenue fully funds Garbage and Recycling and makes up budgetary shortfalls for annual Operations, but still comes short of creating meaningful surplus of revenues over expenses. This scenario does not include any other CIP items beyond 2026, as the first priority is to restore balance to the General fund & establish 12 months of Operating reserves.

Recommendations:

- Implementation of a \$100 monthly Capital Base fee per connection in fiscal year 2027, reflecting your resident's desire to pay for improvements with cash in lieu of long term bonds.
- Second phase of rate increases to be implemented in 2028 to achieve 12 months of reserve coverage

Proposed Rate Structure: Scenario 1

Grand Lakes Municipal Utility District No. 2

*As described in the 10 year
Financial Operating Strategy

RESIDENTIAL RATE STRUCTURE

Water	Usage (In Gallons)	Price per 1,000 Gallons
Base	5,000	\$30.00
Tier 1	5,001 – 10,000	\$1.50
Tier 2	10,001 – 15,000	\$2.00
Tier 3	15,001 – 20,000	\$2.50
Tier 4	20,001 – 25,000	\$3.00
Tier 5	25,001 – 30,000	\$3.50
Tier 6	30,001 – 35,000	\$4.00
Tier 7	35,001 – 40,000	\$4.50
Tier 8	>50,000	\$5.00

Sewer	Usage (In Gallons)	Price per 1,000 Gallons
Scaled	0 – 10,000	\$55.00/Flat
	10,001 – 20,000	\$55.00/Flat
	20,001 – 30,000	\$60.00/Flat
	30,001 – 40,000	\$65.00/Flat
	40,001 – 50,000	\$70.00/Flat
	>50,001	\$75.00/Flat

COMMERCIAL RATE STRUCTURE

Water	Usage (In Gallons)	Price per 1,000 Gallons
Base	5,000	\$60.00
Tier 1	5,001 – 15,000	\$2.50
Tier 2	15,001 – 25,000	\$3.00
Tier 3	25,001 – 30,000	\$3.50
Tier 4	30,001 – 40,000	\$4.50

Sewer	Usage (In Gallons)	Price per 1,000 Gallons
Base	10,000	\$120.00
Tier 1	10,001 – 40,000	\$2.00
Tier 2	40,001 – 70,000	\$2.50
Tier 3	>70,001	\$3.00

TOTAL BILL BY USAGE

Usage	# of Meters	Proposed Water	Proposed Sewer	Proposed Total Bill
< 6,000	38	\$30.00	\$55.00	\$85.00
6k-10k	142	\$36.00	\$55.00	\$91.00
10k-15k	200	\$43.50	\$55.00	\$98.50
15k-20k	158	\$55.00	\$55.00	\$110.00
20k-25k	84	\$61.50	\$60.00	\$121.50
25k-30k	37	\$84.00	\$60.00	\$144.00
30k-40k	11	\$116.50	\$65.00	\$181.50
40k-50k	4	\$155.00	\$70.00	\$225.00
> 50k	5	\$210.00	\$75.00	\$285.00

TOTAL BILL BY CUSTOMER

Customer	Average Usage	Proposed Water	Proposed Sewer	Proposed Total Bill
Walgreens	2,000	\$60.00	\$120.00	\$180.00
Firestone	13,300	\$82.50	\$138.00	\$220.50
Chase Bank	28,200	\$129.00	\$158.00	\$358.00
McDonalds	41,800	\$178.00	\$185.00	\$363.00
Jason's Deli	51,900	\$218.00	\$225.00	\$443.00
Strip Center	67,800	\$282.00	\$250.00	\$532.00
Home Depot	95,800	\$394.00	\$333.00	\$727.00
Elementary School	136,000	\$554.00	\$473.00	\$1,027.00
Car Wash	146,000	\$594.00	\$503.00	\$1,097.00

Residential- For the water rates, this structure increases the base rate and includes 5,000 gallons of water. It introduces more tiers, meant to encourage water conservation & mindful usage. For sewer, the base rate is scaled based on total usage. The increased rate is designed to cover Garbage & Recycling annual expense.

Commercial- Historically commercial rates have been heavily subsidized by Sales Tax revenues. This structure corrects the existing imbalance between higher usage versus lower actual charges. These rates are on the lower end in comparison to other modernized Rate Orders in the Houston area. And are significantly lower than what they would pay in the cities of Houston & Fulshear.

Observations: Reclaimed Irrigation & Streetlighting has been returned to HOA & Security contracts have been cancelled. This coupled with the rate increase adds \$2.1M to the General Fund.

REVENUE & PROJECTIONS
BASED ON
SCENARIO 1

Projected Annual
Service Revenue
\$950,922

Unfunded
Expenses
\$0

5 Year Reserve
Projection
14.1 months

10 Year Reserve
Projection
8.4 months



Grand Lakes Municipal Utility District No. 2

EVO 10-Year Financial Operating Strategy - FY 2025



What's in **SCENARIO 2**:

- Maintains a steady M&O tax rate of \$0.128 & assumes a 99% collection rate
- Assumes a 3% annual increase in taxable value
- Assumes a 4.0% average annual increase in garbage expenses and wastewater revenue, based on the 10-year average of historical CPI increases
- Assumes a 3.5% annual increase in other operating expenses
- Includes \$526,962k of new Service revenue from second rate increase in 2028 & \$818,400 of Capital Projects Base Fee revenue.
- Includes remaining \$11M of Capital projects in your Capital Improvement Plan through 2034.

With no other adjustments, reserves fall to 10.8 months.



Sources used in this study:

- Revenue and expense data are based on the latest audit
- Beginning cash balance is derived from the latest audit and includes cash, money market, and certificate of deposit funds
- Taxable value & Tax rate are from the latest Tax Report from your Tax Assessor
- All Capital Projects are from your Capital Improvement Plan provided by your Engineer

Operating Revenue Operating Expense Capital Project Expense



Ending GOF Cash Balances:

\$5.96M \$31k \$3.23M \$2.57M \$1.54M \$711k \$183k \$559k \$1.1M \$2.0M \$3.1M

Months of GOF Reserves:

19.0 months 0.1 months 13.9 months 10.4 months 6.3 months 2.8 months 0.7 months 2.1 months 3.9 months 7.3 months 10.8 months

High Level Observations Scenario 2



Immediate Attention Required

Scenario 2 is the addition of \$818,000 generated by the introduction of a Capital Projects Base Fee of \$100 per connection per month in fiscal year 2027, as well as \$526,962 of service revenue generated from the second rate increase beginning in 2028. This scenario includes the remaining \$11M of projects in your Capital Improvement Plan, but does not account for any unplanned emergency repairs or replacements that may occur in the forecast period. Despite annual surpluses, with no additional revenue streams, the cost of critical capital infrastructure projects quickly reduce Operating reserves beginning in 2028 resulting in the District having less than 12 months of reserves for 8 consecutive years and building back to 10.8 months by 2035.

Recommendations:

- Continue to seek support within the District for a successful Bond Authorization Election
- If Bond Authorization isn't successful, planned annual increases of Capital Base fees passed to your residents will be unavoidable

Proposed Rate Structure: Scenario 2

Grand Lakes Municipal Utility District No. 2

*As described in the 10 year
Financial Operating Strategy

RESIDENTIAL RATE STRUCTURE

Water	Usage (In Gallons)	Price per 1,000 Gallons
Base	2,000	\$30.00
Tier 1	2,001 – 5,000	\$3.00
Tier 2	5,001 – 9,000	\$4.00
Tier 3	9,001 – 14,000	\$4.50
Tier 4	14,001 – 20,000	\$5.50
Tier 5	20,001 – 27,000	\$6.50
Tier 6	>27,001	\$7.50

Sewer	Usage (In Gallons)	Price per 1,000 Gallons
Base	0 – 5,000	\$55.00
Tier 1	5,001 – 8,000	\$1.50
Tier 2	8,001 – 15,000	\$2.00
Tier 3	15,001 – 20,000	\$2.50
Tier 4	20,001 – 25,000	\$3.00
Tier 5	>25,001	\$3.50

Capital Project Base Fee \$100.00/ monthly per connection

COMMERCIAL RATE STRUCTURE

Water	Usage (In Gallons)	Price per 1,000 Gallons
Base	5,000	\$75.00
Tier 1	5,001 – 9,000	\$4.50
Tier 2	9,001 – 14,000	\$5.50
Tier 3	14,001 – 20,000	\$6.50
Tier 4	20,001 – 27,000	\$8.00
Tier 5	>27,000	\$9.50

Sewer	Usage (In Gallons)	Price per 1,000 Gallons
Base	5,000	\$120.00
Tier 1	5,001 – 8,000	\$2.50
Tier 2	8,001 – 15,000	\$3.00
Tier 3	15,001 – 20,000	\$3.50
Tier 4	20,001 – 25,000	\$4.50
Tier 5	>25,001	\$6.00

TOTAL BILL BY USAGE

Usage	# of Meters	Proposed Water	Proposed Sewer	Proposed Total Bill
< 6,000	38	\$39.00	\$55.00	\$194.00
6k-10k	142	\$58.00	\$59.50	\$217.50
10k-15k	200	\$68.50	\$65.50	\$234.00
15k-20k	158	\$104.00	\$84.00	\$288.00
20k-25k	84	\$123.50	\$92.00	\$315.50
25k-30k	37	\$163.50	\$111.50	\$375.00
30k-40k	11	\$223.50	\$139.50	\$463.00
40k-50k	4	\$291.00	\$177.00	\$568.00
> 50k	5	\$373.50	\$242.50	\$716.00

TOTAL BILL BY CUSTOMER

Customer	Average Usage	Proposed Water	Proposed Sewer	Proposed Total Bill
Walgreens	2,000	\$75.00	\$120.00	\$195.00
Firestone	13,300	\$107.00	\$145.50	\$252.50
Chase Bank	28,200	\$185.50	\$210.50	\$396.00
McDonalds	41,800	\$270.00	\$282.00	\$552.00
Jason's Deli	51,900	\$335.00	\$337.00	\$672.00
Strip Center	67,800	\$439.00	\$425.00	\$864.00
Home Depot	95,800	\$621.00	\$579.00	\$1,200.00
Elementary School	136,000	\$881.00	\$799.00	\$1,686.00
Car Wash	146,000	\$946.00	\$854.00	\$1,800.00

Residential- For the water rates, this structure maintains the \$30 base rate and includes 2,000 gallons of water. Like option 1, the tiers encourage water conservation & mindful usage. For sewer, the addition tiers are based on usage and that revenue helps support annual Operations & Maintenance and Repairs. The Capital Project Base Fee goes towards funding capital infrastructure projects.

Commercial- Historically commercial rates have been heavily subsidized by Sales Tax revenues. This structure corrects the existing imbalance between higher usage versus lower actual charges. These rates are on the lower end in comparison to other modernized Rate Orders in the Houston area. And are lower than what they would pay in the cities of Houston & Fulshear.

Observations: This option successfully creates annual surplus, however, like option 1, it leaves the District in a precarious Operating position with less than 10 months of Reserves from 2028 thru 2035.

REVENUE &
PROJECTIONS
BASED ON
SCENARIO 2

Projected Annual
Service Revenue
\$1,496,902

Capital Projects
Base Fee
Revenue
\$818,400

5 Year Reserve
Projection
2.8 months

10 Year Reserve
Projection
10.8 months

GRAND LAKES MUNICIPAL UTILITY DISTRICT NO. 2
NOTICE OF SPECIAL PUBLIC MEETING

Notice is hereby given to all interested members of the public that the Board of Directors (the "Board") of the above-captioned District will hold a special public meeting at Municipal District Services, L.L.C., located at 406 West Grand Parkway South, Suite 260, Katy, Texas 77494, said address being an official meeting place of the District.

The meeting will be held on Monday, August 3, 2026, at 6:00 p.m.

The Board shall consider and discuss the following matters and take any action necessary or appropriate with respect to such matters:

1. Public comments;
2. Discussion regarding District finances;
3. Discussion of draft operating budget for fiscal year ending August 31, 2027, pursuant to Exhibit A and B attached hereto;
4. Discussion regarding possible amendment to the District's Rate Order; authorize any action necessary and appropriate in connection therewith; and
5. Discussion regarding the District's draft Capital Improvement Plan;
6. Discussion concerning George Wakileh allegations against the District, the Board and District Consultants, and status of Wakileh litigation;
7. Convene Closed Session for consultation with attorney regarding pending or threatened litigation or matters protected by attorney-client privilege pursuant to Section 551.071, Texas Government Code, as amended;
8. Reconvene in Open Session and authorize any actions related to matters discussed in Closed Session;
9. Take action on matters discussed during Closed Session; and
10. Matters for possible placement on future agendas.



SCHWARTZ, PAGE & HARDING, L.L.P.

By: _____

Christopher J. Skinner
Attorney for the District

The Board of Directors reserves the right to adjourn into executive session at any time during the course of this meeting to discuss any of the matters listed above, as authorized by Texas Government Code Sections 551.071 (Consultation with Attorney), 551.072 (Real Property), 551.073 (Prospective Gifts), 551.074 (Personnel Matters), and 551.076 (Security Devices).

Persons with disabilities who plan to attend this meeting and would like to request auxiliary aids or services are requested to contact the District's attorney at (713) 623-4531 at least three business days prior to the meeting so that appropriate arrangements can be made.

Proposed Budget

Exhibit A

Grand Lakes MUD No. 2 - Fiscal Year Ending 08/2027

	Nine Months Actuals 09/25 - 05/26	Twelve Months Annualized FYE 08/26	Adopted 2026 Budget	Proposed 2027 Budget
Revenues				
14101 · Water - Customer Service Revenue	216,376	297,619	392,161	461,862
14102 · NFBWA Revenue	468,090	700,016	773,370	700,008
14108 · Transfer Fee	1,160	1,547	1,500	1,500
14201 · Wastewater - Customer Service Revenue	132,630	176,840	422,097	489,060
14203 · Grease Trap Inspection Fees	6,300	8,400	7,500	8,400
14301 · Maintenance Tax Collections**	470,000	577,300	579,300	576,300
14401 · Sales Tax Revenue	235,258	344,128	300,000	350,000
14702 · Penalties & Interest	8,035	10,714	10,800	10,700
14801 · Interest Earned on Checking	193	257	300	300
14802 · Interest Earned on Temp. Invest	176,155	234,874	246,000	182,800
15801 · Miscellaneous Income	1	1	0	0
Total Revenues	\$1,714,198	\$2,351,695	\$2,733,028	\$2,780,930
Expenditures				
16101 · Billing Service Fees - Water	2,704	3,605	3,500	3,700
16102 · Operations - Water	22,680	30,240	31,600	31,300
16105 · Maintenance & Repairs - Water	56,865	75,820	106,700	78,500
16108 · Laboratory Expense - Water	7,143	9,524	9,700	9,900
16113 · Transfer Expense	1,286	1,714	1,700	1,800
16116 · Permit Expense - Water	1,695	1,695	1,800	1,800
16117 · TCEQ Regulatory Expense - Water	415	1,186	2,036	2,377
16118 · NFBWA Expense	506,430	700,016	773,370	700,008
16119 · NFBWA Expense - Irrigation (RWDS)	183,461	232,206	248,483	232,206
16120 · Purchased Water Services - GL 4	96,459	124,557	205,813	129,557
16122 · Smart Meters	6,384	8,512	8,900	8,800
16123 · Irrigation Evaluations - NFBWA	65	65	400	400
16201 · Billing Service Fees-Wastewater	2,704	3,605	2,800	3,700
16202 · Operations - Wastewater	5,837	7,783	7,660	8,100
16203 · Grease Trap Inspections	6,206	8,274	7,600	8,600
16205 · Maintenance & Repairs - Wastewater	79,133	105,511	114,400	109,200
16209 · Mowing - Wastewater	2,340	3,120	3,000	3,200
16211 · Utilities - Lift Station	3,985	5,313	7,500	5,500
16214 · Telephone Expense - Wastewater	2,608	3,478	3,400	3,600

Proposed Budget

Grand Lakes MUD No. 2 - Fiscal Year Ending 08/2027

	Nine Months Actuals	Twelve Months Annualized	Adopted	Proposed
	09/25 - 05/26	FYE 08/26	2026 Budget	2027 Budget
16216 · Permit Expense - Wastewater	0	0	100	0
16217 · TCEQ Regulatory - Wastewater	415	1,186	2,036	2,377
16220 · Purchased Sewer Services - GL 4	177,387	229,808	252,339	246,876
16221 · Purchased RWDS Services - GL 4	137,631	180,607	263,137	187,906
16301 · Garbage Expense	218,188	290,917	300,400	301,400
16401 · Stormwater Management	5,625	7,475	15,300	7,700
16402 · Storm Water Quality	4,067	4,467	600	4,600
16406 · Permit Expense - Stormwater	100	100	0	100
16502 · Inspection Expense	0	0	1,500	0
16610 · Utilities - Street Lights	102,872	137,163	124,700	142,000
16611 · Pest Control	3,060	4,080	4,900	4,200
16612 · Community Event	701	701	0	0
16703 · Legal Fees	220,057	293,409	150,000	150,000
16704 · Legal Fees - Construction	126	126	2,500	2,500
16705 · Auditing Fees	23,800	23,800	23,000	23,000
16706 · Legal Fees - Litigation	0	0	25,000	25,000
16709 · Election Expense	30,967	30,967	10,000	30,000
16710 · Website Hosting	5,160	6,879	11,500	7,100
16711 · Sales Tax Consultant	2,250	3,000	3,000	3,000
16712 · Bookkeeping Fees	52,070	69,426	74,000	74,000
16714 · Printing & Office Supplies	4,486	5,981	9,000	6,200
16715 · Filing Fees	500	666	200	700
16716 · Delivery Expense	381	507	500	500
16717 · Postage	4,065	5,420	5,700	5,600
16718 · Insurance & Surety Bond	13,962	13,962	13,800	14,500
16719 · AWBD Expense	3,380	4,360	4,500	4,500
16721 · Meeting Expense	3,109	4,145	4,400	4,300
16722 · Bank Service Charge	445	593	200	600
16723 · Travel Expense	283	377	500	400
16724 · SB 622 - Public Notice Expenditures	0	0	600	600
16728 · Record Storage Fees	1,333	1,778	1,400	1,800

Proposed Budget

Grand Lakes MUD No. 2 - Fiscal Year Ending 08/2027

	Nine Months Actuals 09/25 - 05/26	Twelve Months Annualized FYE 08/26	Adopted 2026 Budget	Proposed 2027 Budget
16730 · Consumer Confidence Report	0	1,400	1,400	1,400
16735 · EVO Reporting	19,500	19,500	0	9,500
16737 · Eng. Fees-Bond Authorization	24,228	24,228	0	0
16738 · Engineering Fees	84,593	112,791	125,000	125,000
16740 · Engineering Fees - GIS	789	1,085	0	0
16745 · PUC Appeal	6,019	6,019	150,000	150,000
16746 · SB 625 Filing	700	700	600	700
16801 · Patrol Expense - Sheriff	10,333	10,333	0	0
16803 · Patrol Expense - Constable	213,754	267,267	300,000	308,040
17101 · Payroll Expenses	12,376	16,501	17,300	17,100
17102 · Payroll Administration	400	600	600	600
17103 · Payroll Tax Expense	947	1,262	1,300	1,300
17802 · Miscellaneous Expense	390	390	0	0
Total Expenditures	\$2,378,845	\$3,110,202	\$3,441,372	3,207,348
Other Revenues				
15904 · Transfer from SPA Reserves	0	1,067,428	1,365,286	952,232
Total Other Revenues	\$0	\$1,067,428	\$1,365,286	\$952,232
Capital Outlay				
17901 · Capital Outlay - GOF	56,984	56,984	50,000	50,000
17907 · Capital Outlay - JWP	8,780	11,313	16,163	118,525
17908 · Capital Outlay - WWTP	0	0	10,540	10,540
17909 · Capital Outlay - RWDS	7,095	114,334	15,208	9,749
17959 · Lift Station Generators	0	0	100,000	0
17961 · Storm Manhole/Inlet Repairs	108,705	100,000	315,031	0
17962 · Waterline Replacement Fry & Peek Rd.	26,291	26,291	150,000	150,000
17963 · Jason's Deli Reimbursement	0	0	0	187,000
Total Capital Outlay	207,855	308,921	656,942	525,814
Net Excess Revenues <Expenditures>	(\$872,501)	\$0	\$0	\$0

* Those appendix items required by Texas Water Code Section 49.057(b) are filed in the District's official records and are available upon request. Any person wishing to obtain a copy of such documents may submit a request under the Texas Public Information Act to the following address: Grand Lakes MUD No. 2, c/o Schwartz, Page & Harding, L.L.P., 1300 Post Oak Blvd., Suite 2400, Houston, TX. 77056, (713) 623-4531.

** Maintenance Tax Collections = \$459,413,419/ 100 x \$.128 Tax Rate x 98% Collection Rate

Exhibit B
Taxpayer Impact Statement

	Current Budget Fiscal Year Ending** 08/26	Proposed Budget Fiscal Year Ending** 08/27	No-New-Revenue Tax Rate Budget***
Estimated District Operations and Maintenance Tax Bill on Average Homestead*	\$989.78	\$989.78	\$989.78

*The District levies taxes in accordance with the Texas Water Code. The District's current operations and maintenance tax rate is equal to \$0.128 per \$100 of assessed value. Average homestead values are determined by the county appraisal district. All estimates above were prepared utilizing the average resident homestead value as of the time that the District's most recent Truth in Taxation worksheet was prepared in accordance with the Texas Water Code.

**Average tax bill estimates for the current and proposed budgets reflect those taxes necessary to fund the operation and maintenance tax revenues stated in the applicable budget.

***This column estimates the operations and maintenance taxes to be paid on the average homestead if the proposed budget generates the same amount of operations and maintenance tax revenues as the current budget.

Proposed Budget

Grand Lakes MUD No. 2 - Fiscal Year Ending 08/2027

	Nine Months Actuals	Twelve Months Annualized	Adopted	Proposed
	09/25 - 05/26	FYE 08/26	2026 Budget	2027 Budget
Revenues				
14101 · Water - Customer Service Revenue	216,376	297,619	392,161	461,862
14102 · NFBWA Revenue	468,090	700,016	773,370	700,008
14108 · Transfer Fee	1,160	1,547	1,500	1,500
14201 · Wastewater - Customer Service Revenue	132,630	176,840	422,097	489,060
14203 · Grease Trap Inspection Fees	6,300	8,400	7,500	8,400
14301 · Maintenance Tax Collections**	470,000	577,300	579,300	596,600
14401 · Sales Tax Revenue	235,258	344,128	300,000	350,000
14702 · Penalties & Interest	8,035	10,714	10,800	10,700
14801 · Interest Earned on Checking	193	257	300	300
14802 · Interest Earned on Temp. Invest	176,155	234,874	246,000	182,800
15801 · Miscellaneous Income	1	1	0	0
Total Revenues	\$1,714,198	\$2,351,695	\$2,733,028	\$2,801,230
Expenditures				
16101 · Billing Service Fees - Water	2,704	3,605	3,500	3,700
16102 · Operations - Water	22,680	30,240	31,600	31,300
16105 · Maintenance & Repairs - Water	56,865	75,820	106,700	78,500
16108 · Laboratory Expense - Water	7,143	9,524	9,700	9,900
16113 · Transfer Expense	1,286	1,714	1,700	1,800
16116 · Permit Expense - Water	1,695	1,695	1,800	1,800
16117 · TCEQ Regulatory Expense - Water	415	1,186	2,036	2,377
16118 · NFBWA Expense	506,430	700,016	773,370	700,008
16119 · NFBWA Expense - Irrigation (RWDS)	183,461	232,206	248,483	232,206
16120 · Purchased Water Services - GL 4	96,459	124,557	205,813	129,600
16122 · Smart Meters	6,384	8,512	8,900	8,800
16123 · Irrigation Evaluations - NFBWA	65	65	400	400
16201 · Billing Service Fees-Wastewater	2,704	3,605	2,800	3,700
16202 · Operations - Wastewater	5,837	7,783	7,660	8,100
16203 · Grease Trap Inspections	6,206	8,274	7,600	8,600
16205 · Maintenance & Repairs - Wastewater	79,133	105,511	114,400	109,200
16209 · Mowing - Wastewater	2,340	3,120	3,000	3,200
16211 · Utilities - Lift Station	3,985	5,313	7,500	5,500
16214 · Telephone Expense - Wastewater	2,608	3,478	3,400	3,600

Proposed Budget

Grand Lakes MUD No. 2 - Fiscal Year Ending 08/2027

	Nine Months Actuals	Twelve Months Annualized	Adopted	Proposed
	09/25 - 05/26	FYE 08/26	2026 Budget	2027 Budget
16216 · Permit Expense - Wastewater	0	0	100	0
16217 · TCEQ Regulatory - Wastewater	415	1,186	2,036	2,377
16220 · Purchased Sewer Services - GL 4	177,387	229,808	252,339	246,919
16221 · Purchased RWDS Services - GL 4	137,631	180,607	263,137	187,972
16301 · Garbage Expense	218,188	290,917	300,400	301,400
16401 · Stormwater Management	5,625	7,475	15,300	7,700
16402 · Storm Water Quality	4,067	4,467	600	4,600
16406 · Permit Expense - Stormwater	100	100	0	100
16502 · Inspection Expense	0	0	1,500	0
16610 · Utilities - Street Lights	102,872	137,163	124,700	142,000
16611 · Pest Control	3,060	4,080	4,900	4,200
16612 · Community Event	701	701	0	0
16703 · Legal Fees	220,057	293,409	150,000	150,000
16704 · Legal Fees - Construction	126	126	2,500	2,500
16705 · Auditing Fees	23,800	23,800	23,000	25,000
16706 · Legal Fees - Litigation	0	0	25,000	25,000
16709 · Election Expense	30,967	30,967	10,000	30,000
16710 · Website Hosting	5,160	6,879	11,500	7,100
16711 · Sales Tax Consultant	2,250	3,000	3,000	3,000
16712 · Bookkeeping Fees	52,070	69,426	74,000	74,000
16714 · Printing & Office Supplies	4,486	5,981	9,000	6,200
16715 · Filing Fees	500	666	200	700
16716 · Delivery Expense	381	507	500	500
16717 · Postage	4,065	5,420	5,700	5,600
16718 · Insurance & Surety Bond	13,962	13,962	13,800	14,500
16719 · AWBD Expense	3,380	4,360	4,500	4,500
16721 · Meeting Expense	3,109	4,145	4,400	4,300
16722 · Bank Service Charge	445	593	200	600
16723 · Travel Expense	283	377	500	400
16724 · SB 622 - Public Notice Expenditures	0	0	600	600
16728 · Record Storage Fees	1,333	1,778	1,400	1,800

Proposed Budget

Grand Lakes MUD No. 2 - Fiscal Year Ending 08/2027

	Nine Months Actuals 09/25 - 05/26	Twelve Months Annualized FYE 08/26	Adopted 2026 Budget	Proposed 2027 Budget
16730 · Consumer Confidence Report	0	1,400	1,400	1,400
16735 · EVO Reporting	19,500	19,500	0	9,500
16737 · Eng. Fees-Bond Authorization	24,228	24,228	0	0
16738 · Engineering Fees	84,593	112,791	125,000	125,000
16740 · Engineering Fees - GIS	789	1,085	0	0
16745 · PUC Appeal	6,019	6,019	150,000	150,000
16746 · SB 625 Filing	700	700	600	700
16801 · Patrol Expense - Sheriff	10,333	10,333	0	0
16803 · Patrol Expense - Constable	213,754	267,267	300,000	308,040
17101 · Payroll Expenses	12,376	16,501	17,300	17,100
17102 · Payroll Administration	400	600	600	600
17103 · Payroll Tax Expense	947	1,262	1,300	1,300
17802 · Miscellaneous Expense	390	390	0	0
Total Expenditures	\$2,378,845	\$3,110,202	\$3,441,372	3,209,500
Other Revenues				
15904 · Transfer from SPA Reserves	0	1,067,428	1,365,286	934,083
Total Other Revenues	\$0	\$1,067,428	\$1,365,286	\$934,083
Capital Outlay				
17901 · Capital Outlay - GOF	56,984	56,984	50,000	50,000
17907 · Capital Outlay - JWP	8,780	11,313	16,163	118,525
17908 · Capital Outlay - WWTP	0	0	10,540	10,540
17909 · Capital Outlay - RWDS	7,095	114,334	15,208	9,749
17959 · Lift Station Generators	0	0	100,000	0
17961 · Storm Manhole/Inlet Repairs	108,705	100,000	315,031	0
17962 · Waterline Replacement Fry & Peek Rd.	26,291	26,291	150,000	150,000
17963 · Jason's Deli Reimbursement	0	0	0	187,000
Total Capital Outlay	207,855	308,921	656,942	525,814
Net Excess Revenues <Expenditures>	(\$872,501)	\$0	\$0	\$0

* Those appendix items required by Texas Water Code Section 49.057(b) are filed in the District's official records and are available upon request. Any person wishing to obtain a copy of such documents may submit a request under the Texas Public Information Act to the following address: Grand Lakes MUD No. 2, c/o Schwartz, Page & Harding, L.L.P., 1300 Post Oak Blvd., Suite 2400, Houston, TX. 77056, (713) 623-4531.

** Maintenance Tax Collections = \$466,651,883/ 100 x \$.130460 Tax Rate x 98% Collection Rate

GRAND LAKES MUNICIPAL UTILITY DISTRICT NO. 2
SIMPLIFIED CAPITAL IMPROVEMENT PLAN - NEXT TWO FISCAL YEARS

Fiscal years begin September 1 and end August 31

Type	Project Category / Summary	FY 2027 (September 2026 - August 2027)				FY 2028 (September 2027 - August 2028)			
	One project shown per quarter	1Q 27	2Q 27	3Q 27	4Q 27	1Q 28	2Q 28	3Q 28	4Q 28
GENERAL PREVENTATIVE MAINTENANCE									
PM	Water Plant No. 1		Water Plant No. 1 GST Recoating						
	Total Cost (Construction + Engineering)		\$594,350						
PM	Water Plant No. 2								
	Total Cost (Construction + Engineering)								
PM	WWTP								
	Total Cost (Construction + Engineering)								
PM	Lift Station Rehabilitation				Lift Station Electrical Portable Generator				
	Total Cost (Construction + Engineering)				\$212,874				
LARGER / NEW PROJECTS									
New	WWTP Rehabilitation Phase 1 - Headworks		WWTP Electrical/ Generator	WWTP Headworks					
	Total Cost (Construction + Engineering)		\$1,450,573	\$505,575					
New	Water Plant No. 1							Water Well 1 Rehab	
	Total Cost (Construction + Engineering)							\$763,409	
NEW	Water Plant No. 2								
	Total Cost (Construction + Engineering)								
NEW	Lift Station	Lift Station No. 1 Rehabilitation							
	Total Cost (Construction + Engineering)	\$986,759							

10 YEAR CAPITAL IMPROVEMENTS PLAN (CIP)
GRAND LAKES MUNICIPAL UTILITY DISTRICT
OCTOBER 2025

Revised 8/3/2026

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Notes:
(1) Inflation rate used is 3.5%
(2) The estimated tariff adjustment factors are below: - Electrical: 25% - Steel: 20% - Pumps/Blowers: 15% - Coatings/Resin: 10% - Chemicals: 6%
(3) Valve surveys, and interconnect testing/replacement is not included in this CIP. These costs are assumed to be included in the operator's annual budget.
(4) This CIP is a budgetary tool and should be reviewed annually to reassess priorities.
(5) No Corrective Action required per 2023 Preventive Services Inspection Report.
(6) No Corrective Action required per 2023 Preventive Services Inspection Report. The interior plynura protective coating system was last inspected in 2021.
(7) Per MDS, the generator is working well. PD recommends ensuring that the manufacturer supports all parts to maintain service. If, at any time, parts are no longer supported, the generation must be replaced as soon as possible.
(8) Operator to perform work.
(9) Fiscal year September 1st - August 31st.
(10) Electrical improvements at the water plants will be evaluated annually and deferred until such upgrades are determined to be necessary based on condition and operational needs.

Improvements Authorized, Underway or Completed

Upgrades Beyond Normal Wear and Tear

Operator-Maintained Assets

Proposed Upcoming Improvements

Condition Assessment Pending

Revised 8/3/2026

IV. Portable Natural Gas Generator														
Portable 56 kW Diesel Generator (for all Grand Lakes Districts)														
A. Portable Generator ⁽⁷⁾	24.00%	38.00%	38.00%	\$84,000	\$16,800	\$15,120	\$115,920		15	2027		\$124,176		\$124,176
										Annual Subtotal GL MUD 1:		\$29,802		\$29,802
										Annual Subtotal GL MUD 2:		\$47,187		\$47,187
										Annual Subtotal GL MUD 4:		\$47,187		\$47,187
										Annual Subtotal Portable Gas Gen.:		\$124,176		\$124,176
Notes:														
(a) The amount is estimated to be zero.														

	Improvements Authorized, Underway or Completed		Proposed Upcoming Improvements
	Upgrades Beyond Normal Wear and Tear		Condition Assessment Pending
	Operator-Maintained Assets		

10 YEAR CAPITAL IMPROVEMENTS PLAN (CIP)
GRAND LAKES MUNICIPAL UTILITY DISTRICT
OCTOBER 2025

Revised 8/3/2026

	Grand Lakes 1 Share	Grand Lakes 2 Share	Grand Lakes 4 Share	Estimated Construction/ Maint. Cost (2025 dollars)	Contingencies (20%)	Estimated Engineering Cost (15%)	Total Cost (2025 dollars)	Year of Construction/L ast Rehab	Approv. Service Life (Years)	Year of Proposed Impr.	2025 FYE August	2026 FYE August	2027 FYE August	2028 FYE August	2029 FYE August	2030 FYE August	2031 FYE August	2032 FYE August	2033 FYE August	2034 FYE August	10 Year CIP Totals
V. Grand Lakes MUD 3 Lift Stations																					
Lift Station No. 1																					
A. Install a Natural Gas Generator and ATS	100.00%	0%	0%	\$312,500	\$62,500	\$56,250	\$431,250	2001	20-25	2027			\$461,966								\$461,966
B. Replace Lift Station Pumps 1-2	100.00%	0%	0%	\$74,750	\$14,950	\$13,455	\$103,155	2001	15	2027			\$110,502								\$110,502
C. Recast Wet Well, On Site Manholes, Dry Pit	100.00%	0%	0%	\$110,000	\$22,000	\$19,800	\$151,800	2001	15	2027			\$162,612								\$162,612
D. Replace Piping	100.00%	0%	0%	\$96,000	\$19,200	\$17,280	\$132,480	2001	25	2027			\$141,916								\$141,916
E. Replace Valves	100.00%	0%	0%	\$36,000	\$7,200	\$6,480	\$49,680	2001	25	2027			\$53,218								\$53,218
F. Bypass Pumping	100.00%	0%	0%	\$35,000	\$7,000	\$6,300	\$48,300	2001		2027			\$51,740								\$51,740
Lift Station No. 2																					
G. Install Manual Transfer Switch and Cam Lok Fittings (for Portable Generator)	100.00%	0%	0%	\$15,000	\$3,000	\$2,700	\$20,700	2003		2027			\$22,174								\$22,174
H. Install a Natural Gas Generator and ATS	100.00%	0%	0%	\$343,750	\$68,750	\$61,875	\$474,375	2003	20-25	2029					\$544,356						\$544,356
I. Replace Lift Station Pumps	100.00%	0%	0%	\$92,000	\$18,400	\$16,560	\$126,960	2003	15	2029					\$145,690						\$145,690
J. Recast Wet Well, On Site Manholes, Dry Pit	100.00%	0%	0%	\$104,500	\$20,900	\$18,810	\$144,210	2003	15	2029					\$165,484						\$165,484
K. Replace Piping	100.00%	0%	0%	\$108,000	\$21,600	\$19,440	\$149,040	2003	25	2029					\$171,027						\$171,027
L. Replace Valves	100.00%	0%	0%	\$42,000	\$8,400	\$7,560	\$57,960	2003	25	2029					\$66,510						\$66,510
M. Bypass Pumping	100.00%	0%	0%	\$40,000	\$8,000	\$7,200	\$55,200	2003		2029					\$63,343						\$63,343
N. Auto-Dialer Replacement ⁽⁵⁾	100.00%	0%	0%	\$8,000	\$1,600	\$1,440	\$11,040	2003		2029	\$11,040										\$11,040
Lift Station No. 3																					
O. Install Manual Transfer Switch and Cam Lok Fittings (for Portable Generator)	100.00%	0%	0%	\$15,000	\$3,000	\$2,700	\$20,700	2004		2027			\$22,174								\$22,174
P. Install a Natural Gas Generator and ATS	100.00%	0%	0%	\$312,500	\$62,500	\$56,250	\$431,250	2004	20-25	2028				\$478,135							\$478,135
Q. Replace Lift Station Pumps 1-2	100.00%	0%	0%	\$74,750	\$14,950	\$13,455	\$103,155	2004	15	2028				\$114,370							\$114,370
R. Recast Wet Well, On Site Manholes, Dry Pit	100.00%	0%	0%	\$121,000	\$24,200	\$21,780	\$166,980	2004	15	2028				\$185,134							\$185,134
S. Replace Piping	100.00%	0%	0%	\$96,000	\$19,200	\$17,280	\$132,480	2004	25	2028				\$146,883							\$146,883
T. Replace Valves	100.00%	0%	0%	\$36,000	\$7,200	\$6,480	\$49,680	2004	25	2028				\$55,081							\$55,081
U. Bypass Pumping	100.00%	0%	0%	\$40,000	\$8,000	\$7,200	\$55,200	2004		2028				\$61,201							\$61,201
Annual Subtotal GL3 Lift Stations:											\$11,040		\$1,026,303	\$1,040,803	\$1,156,411						\$3,234,557

Notes:	
(1) Inflation rate used is 3.5%	
(2) The estimated tariff adjustment factors are below:	
- Electrical: 25%	
- Steel: 20%	
- Pumps/Blowers: 15%	
- Coatings/Resin: 10%	
- Chemicals: 6%	
(3) Valve surveys, and interconnect testing/replacement is not included in this CIP. These costs are assumed to be included in the operator's annual budget.	
(4) This CIP is a budgetary tool and should be reviewed annually to reassess priorities.	
(5) WTS to perform auto dialer replacement.	

Improvements Authorized, Underway or Completed	Proposed Upcoming Improvements
Upgrades Beyond Normal Wear and Tear	Condition Assessment Pending
Operator-Maintained Assets	

10 YEAR CAPITAL IMPROVEMENTS PLAN (CIP)
GRAND LAKES MUNICIPAL UTILITY DISTRICT
OCTOBER 2025

Revised 8/3/2026

	Grand Lakes 1 Share	Grand Lakes 2 Share	Grand Lakes 4 Share	Estimated Construction/ Maint. Cost (2025 dollars)	Contingencies (20%)	Estimated Engineering Cost (15%)	Total Cost (2025 dollars)	Year of Construction/L ast Rehab	Approx. Service Life (Years)	Year of Proposed Impr.	2025 FYE August	2026 FYE August	2027 FYE August	2028 FYE August	2029 FYE August	2030 FYE August	2031 FYE August	2032 FYE August	2033 FYE August	2034 FYE August	10 Year CIP Totals
VI. Grand Lakes MUD 2 Lift Stations																					
Lift Station No. 1																					
A. Install a Natural Gas Generator and ATS	0%	100.00%	0%	\$343,750	\$68,750	\$61,875	\$474,375	2000	20-25	2027			\$508,162								\$508,162
B. Replace Lift Station Pumps 1-2	0%	100.00%	0%	\$74,750	\$14,950	\$13,455	\$103,155	2000	15	2027			\$110,502								\$110,502
C. Recoat Wet Well, On Site Manholes, Dry Pit	0%	100.00%	0%	\$88,000	\$17,600	\$15,840	\$121,440	2000	15	2027			\$130,090								\$130,090
D. Replace Piping	0%	100.00%	0%	\$96,000	\$19,200	\$17,280	\$132,480	2000	25	2027			\$141,916								\$141,916
E. Replace Valves	0%	100.00%	0%	\$30,000	\$6,000	\$5,400	\$41,400	2000	25	2027			\$44,349								\$44,349
F. Bypass Pumping	0%	100.00%	0%	\$35,000	\$7,000	\$6,300	\$48,300	2000		2027			\$51,740								\$51,740
Lift Station No. 2																					
G. Install Manual Transfer Switch and Cam Lok Fittings (for Portable Generator)	0%	100.00%	0%	\$15,000	\$3,000	\$2,700	\$20,700	2000		2027			\$22,174								\$22,174
H. Install a Natural Gas Generator and ATS	0%	100.00%	0%	\$312,500	\$62,500	\$56,250	\$431,250	2000	20-25	2030						\$512,190					\$512,190
I. Replace Lift Station Pumps 1-2	0%	100.00%	0%	\$86,250	\$17,250	\$15,525	\$119,025	2000	15	2030						\$141,364					\$141,364
J. Recoat Wet Well, On Site Manholes, Dry Pit	0%	100.00%	0%	\$93,500	\$18,700	\$16,830	\$129,030	2000	15	2030						\$153,247					\$153,247
K. Replace Piping	0%	100.00%	0%	\$90,000	\$18,000	\$16,200	\$124,200	2000	25	2030						\$147,511					\$147,511
L. Replace Valves	0%	100.00%	0%	\$48,000	\$9,600	\$8,640	\$66,240	2000	25	2030						\$78,672					\$78,672
M. Bypass Pumping	0%	100.00%	0%	\$35,000	\$7,000	\$6,300	\$48,300	2000	25	2030						\$57,165					\$57,165
Lift Station No. 3																					
N. Install Manual Transfer Switch and Cam Lok Fittings (for Portable Generator)	0%	100.00%	0%	\$15,000	\$3,000	\$2,700	\$20,700	2001		2027			\$22,174								\$22,174
O. Install a Natural Gas Generator and ATS	0%	100.00%	0%	\$343,750	\$68,750	\$61,875	\$474,375	2001	20-25	2029						\$544,356					\$544,356
P. Replace Lift Station Pumps 1-2	0%	100.00%	0%	\$80,500	\$16,100	\$14,490	\$111,090	2001	15	2029						\$127,478					\$127,478
Q. Recoat Wet Well, On Site Manholes, Dry Pit	0%	100.00%	0%	\$99,000	\$19,800	\$17,820	\$136,620	2001	15	2029						\$156,775					\$156,775
R. Replace Piping	0%	100.00%	0%	\$96,000	\$19,200	\$17,280	\$132,480	2001	25	2029						\$152,024					\$152,024
S. Replace Valves	0%	100.00%	0%	\$30,000	\$6,000	\$5,400	\$41,400	2001	25	2029						\$47,507					\$47,507
T. Bypass Pumping	0%	100.00%	0%	\$45,000	\$9,000	\$8,100	\$62,100	2001		2029						\$71,261					\$71,261
Lift Station No. 4																					
V. Install Manual Transfer Switch and Cam Lok Fittings (for Portable Generator)	0%	100.00%	0%	\$15,000	\$3,000	\$2,700	\$20,700	2003		2027			\$22,174								\$22,174
W. Install a Natural Gas Generator and ATS	0%	100.00%	0%	\$312,500	\$62,500	\$56,250	\$431,250	2003	20-25	2031						\$530,116					\$530,116
X. Replace Lift Station Pumps 1-2	0%	100.00%	0%	\$86,250	\$17,250	\$15,525	\$119,025	2003	15	2031						\$146,312					\$146,312
Y. Recoat Wet Well, On Site Manholes, Dry Pit	0%	100.00%	0%	\$104,500	\$20,900	\$18,810	\$144,210	2003	15	2031						\$177,271					\$177,271
Z. Replace Piping	0%	100.00%	0%	\$102,000	\$20,400	\$18,360	\$140,760	2003	25	2031						\$173,030					\$173,030
AA. Replace Valves	0%	100.00%	0%	\$60,000	\$12,000	\$10,800	\$82,800	2003	25	2031						\$101,782					\$101,782
BB. Bypass Pumping	0%	100.00%	0%	\$45,000	\$9,000	\$8,100	\$62,100	2003		2031						\$76,337					\$76,337
Lift Station No. 5																					
CC. Install Manual Transfer Switch and Cam Lok Fittings (for Portable Generator)	0%	100.00%	0%	\$15,000	\$3,000	\$2,700	\$20,700	2006		2027			\$22,174								\$22,174
DD. Install a Natural Gas Generator and ATS	0%	100.00%	0%	\$312,500	\$62,500	\$56,250	\$431,250	2006	20-25	2032							\$548,670				\$548,670
EE. Replace Lift Station Pumps 1-2	0%	100.00%	0%	\$92,000	\$18,400	\$16,560	\$126,960	2006	15	2032						\$161,529					\$161,529
FF. Recoat Wet Well, On Site Manholes, Dry Pit	0%	100.00%	0%	\$99,000	\$19,800	\$17,820	\$136,620	2006	15	2032						\$173,819					\$173,819
GG. Replace Piping	0%	100.00%	0%	\$96,000	\$19,200	\$17,280	\$132,480	2006	25	2032						\$168,552					\$168,552
HH. Replace Valves	0%	100.00%	0%	\$54,000	\$10,800	\$9,720	\$74,520	2006	25	2032						\$94,810					\$94,810
II. Bypass Pumping	0%	100.00%	0%	\$40,000	\$8,000	\$7,200	\$55,200	2006	25	2032						\$70,230					\$70,230
Annual Subtotal GL2 Lift Stations:													\$1,075,456		\$1,099,402	\$1,090,349	\$1,204,848	\$1,217,609			\$5,687,665

Notes:	
(1) Inflation rate used is 3.5%	
(2) The estimated Larrif adjustment factors are below:	
- Electrical: 25%	
- Steel: 20%	
- Pumps/Blowers: 15%	
- Coatings/Resin: 10%	
- Chemicals: 6%	
(3) Valve surveys, and interconnect testing/replacement is not included in this CIP. These costs are assumed to be included in the operator's annual budget.	
(4) This CIP is a budgetary tool and should be reviewed annually to reassess priorities.	

Improvements authorized, underway or completed

Proposed upcoming improvements

Upgrades beyond normal wear and tear
Operator-Maintained Assets

Condition Assessment Pending

10 YEAR CAPITAL IMPROVEMENTS PLAN (CIP)
GRAND LAKES MUNICIPAL UTILITY DISTRICT
OCTOBER 2025

Revised 8/3/2026

	Grand Lakes 1 Share	Grand Lakes 2 Share	Grand Lakes 4 Share	Estimated Construction/ Maint. Cost (2025 dollars)	Contingencies (20%)	Estimated Engineering Cost (15%)	Total Cost (2025 dollars)	Year of Construction/Last Rehab	Approx. Service Life (Years)	Year of Proposed Impr.	2025 FYE August	2026 FYE August	2027 FYE August	2028 FYE August	2029 FYE August	2030 FYE August	2031 FYE August	2032 FYE August	2033 FYE August	2034 FYE August	10 Year CIP Totals
VII. Grand Lakes MUD 4 Lift Stations																					
Lift Station No. 1																					
A. Install a Natural Gas Generator and ATS	0%	0%	100.00%	\$375,000	\$75,000	\$67,500	\$517,500	1998	20-25	2027			\$554,359								\$554,359
B. Replace Lift Station Pumps 1-2	0%	0%	100.00%	\$40,500	\$16,100	\$14,490	\$111,090	1998	15	2027			\$119,002								\$119,002
C. Recoat Wet Well, On Site Manholes, Dry Pit	0%	0%	100.00%	\$132,000	\$26,400	\$23,760	\$182,160	1998	15	2027			\$195,134								\$195,134
D. Replace Piping	0%	0%	100.00%	\$120,000	\$24,000	\$21,600	\$165,600	1998	25	2027			\$177,395								\$177,395
E. Replace Valves	0%	0%	100.00%	\$36,000	\$7,200	\$6,480	\$49,680	1998	25	2027			\$53,218								\$53,218
F. Bypass Pumping	0%	0%	100.00%	\$50,000	\$10,000	\$9,000	\$69,000	1998		2027			\$73,915								\$73,915
F1. Remove and Replace Electrical Control Panel	0%	0%	100.00%	\$56,250	\$11,250	\$10,125	\$77,625	1998		2027			\$83,154								\$83,154
Lift Station No. 2																					
G. Install Manual Transfer Switch and Cam Lok Fittings (for Portable Generator)	0%	0%	100.00%	\$15,000	\$3,000	\$2,700	\$20,700	1998		2027			\$22,174								\$22,174
H. Install a Natural Gas Generator and ATS	0%	0%	100.00%	\$175,000	\$75,000	\$67,500	\$517,500	1998	20-25	2031						\$636,140					\$636,140
I. Replace Lift Station Pumps 1-2	0%	0%	100.00%	\$92,000	\$18,400	\$16,560	\$126,960	1998	15	2031						\$156,066					\$156,066
J. Recoat Wet Well, On Site Manholes, Dry Pit	0%	0%	100.00%	\$115,500	\$23,100	\$20,790	\$159,390	1998	15	2031						\$195,931					\$195,931
K. Replace Piping	0%	0%	100.00%	\$114,000	\$22,800	\$20,520	\$157,320	1998	25	2031						\$193,386					\$193,386
L. Replace Valves	0%	0%	100.00%	\$42,000	\$8,400	\$7,560	\$57,960	1998	25	2031						\$71,248					\$71,248
M. Bypass Pumping	0%	0%	100.00%	\$40,000	\$8,000	\$7,200	\$55,200	1998		2031						\$67,855					\$67,855
Lift Station No. 3																					
N. Install Manual Transfer Switch and Cam Lok Fittings (for Portable Generator)	0%	0%	100.00%	\$15,000	\$3,000	\$2,700	\$20,700	1999		2027			\$22,174								\$22,174
O. Install a Natural Gas Generator and ATS	0%	0%	100.00%	\$112,500	\$62,500	\$56,250	\$431,250	1999	20-25	2030						\$512,190					\$512,190
P. Replace Lift Station Pumps 1-2	0%	0%	100.00%	\$92,000	\$18,400	\$16,560	\$126,960	1999	15	2030						\$150,789					\$150,789
Q. Recoat Wet Well, On Site Manholes, Dry Pit	0%	0%	100.00%	\$115,500	\$23,100	\$20,790	\$159,390	1999	15	2030						\$189,305					\$189,305
R. Replace Piping	0%	0%	100.00%	\$102,000	\$20,400	\$18,360	\$140,760	1999	25	2030						\$167,179					\$167,179
S. Replace Valves	0%	0%	100.00%	\$48,000	\$9,600	\$8,640	\$66,240	1999	25	2030						\$78,672					\$78,672
T. Bypass Pumping	0%	0%	100.00%	\$40,000	\$8,000	\$7,200	\$55,200	1999	25	2030						\$65,560					\$65,560
Lift Station No. 4																					
U. Install Manual Transfer Switch and Cam Lok Fittings (for Portable Generator)	0%	0%	100.00%	\$15,000	\$3,000	\$2,700	\$20,700	1999		2027			\$22,174								\$22,174
V. Install a Natural Gas Generator and ATS	0%	0%	100.00%	\$112,500	\$62,500	\$56,250	\$431,250	1999	20-25	2028				\$478,135							\$478,135
W. Replace Lift Station Pumps 1-2	0%	0%	100.00%	\$40,500	\$16,100	\$14,490	\$111,090	1999	15	2028				\$123,167							\$123,167
X. Recoat Wet Well, On Site Manholes, Dry Pit	0%	0%	100.00%	\$121,000	\$24,200	\$21,780	\$166,980	1999	15	2028				\$185,134							\$185,134
Y. Replace Piping	0%	0%	100.00%	\$102,000	\$20,400	\$18,360	\$140,760	1999	25	2028				\$156,063							\$156,063
Z. Replace Valves	0%	0%	100.00%	\$30,000	\$6,000	\$5,400	\$41,400	1999	25	2028				\$45,901							\$45,901
AA. Bypass Pumping	0%	0%	100.00%	\$40,000	\$8,000	\$7,200	\$55,200	1999		2028				\$61,201							\$61,201
Lift Station No. 5																					
BB. Install Manual Transfer Switch and Cam Lok Fittings (for Portable Generator)	0%	0%	100.00%	\$15,000	\$3,000	\$2,700	\$20,700	2008		2027			\$22,174								\$22,174
CC. Install a Natural Gas Generator and ATS	0%	0%	100.00%	\$175,000	\$75,000	\$67,500	\$517,500	2008	20-25	2033									\$681,449		\$681,449
DD. Replace Lift Station Pumps 1-2	0%	0%	100.00%	\$46,250	\$17,250	\$15,525	\$119,025	2008	15	2033									\$156,733		\$156,733
EE. Recoat Wet Well, On Site Manholes, Dry Pit	0%	0%	100.00%	\$132,000	\$26,400	\$23,760	\$182,160	2008	15	2033									\$239,870		\$239,870
FF. Replace Piping	0%	0%	100.00%	\$96,000	\$19,200	\$17,280	\$132,480	2008	25	2033									\$174,451		\$174,451
GG. Replace Valves	0%	0%	100.00%	\$30,000	\$6,000	\$5,400	\$41,400	2008	25	2033									\$54,516		\$54,516
HH. Bypass Pumping	0%	0%	100.00%	\$40,000	\$8,000	\$7,200	\$55,200	2008		2033									\$72,688		\$72,688
Annual Subtotal GL3 Lift Stations:													\$1,344,875	\$1,049,601		\$1,163,695	\$1,320,626		\$1,379,706		\$6,258,503
VIII. Wastewater Collection System																					
A. Grand Lakes 1 - Cleaning and Televsion of Sanitary Sewer Lines	100.00%	0%	0%	\$31,000	\$6,200		\$37,200	2001	10						\$42,688	\$44,182	\$45,728	\$47,129	\$48,985	\$50,700	\$279,612
B. Grand Lakes 1 - Sanitary Sewer Manhole Rehabilitation	100.00%	0%	0%	\$36,000	\$7,200		\$43,200	2001	50						\$49,573	\$51,308	\$53,104	\$54,962	\$56,886	\$58,877	\$324,711
C. Grand Lakes 1 - Point Repairs	100.00%	0%	0%	\$18,000	\$3,600		\$21,600	2020	30-50				\$22,356	\$23,138	\$23,948	\$24,786	\$25,654	\$26,552	\$27,481	\$28,443	\$29,439
D. Grand Lakes 2 - Cleaning and Televsion of Sanitary Sewer Lines	0%	100.00%	0%	\$33,000	\$6,600		\$39,600	2000	10						\$45,442	\$47,032	\$48,679	\$50,382	\$52,146	\$53,971	\$297,651
E. Grand Lakes 2 - Sanitary Sewer Manhole Rehabilitation	0%	100.00%	0%	\$36,000	\$7,200		\$43,200	2000	50						\$49,573	\$51,308	\$53,104	\$54,962	\$56,886	\$58,877	\$324,711
G. Grand Lakes 2 - Point Repairs	0%	100.00%	0%	\$18,000	\$3,600		\$21,600	2020	30-50				\$22,356	\$23,138	\$23,948	\$24,786	\$25,654	\$26,552	\$27,481	\$28,443	\$29,439
F. Grand Lakes 4 - Cleaning and Televsion of Sanitary Sewer Lines	0%	0%	100.00%	\$35,000	\$7,000		\$42,000	1998	10						\$48,196	\$49,883	\$51,629	\$53,436	\$55,306	\$57,242	\$315,691
F. Grand Lakes 4 - Sanitary Sewer Manhole Rehabilitation	0%	0%	100.00%	\$30,000	\$6,000		\$36,000	1998	50						\$41,311	\$42,757	\$44,253	\$45,802	\$47,405	\$49,064	\$270,592
J. Grand Lakes 4 - Point Repairs	0%	0%	100.00%	\$18,000	\$3,600		\$21,600	2020	30-50				\$22,356	\$23,138	\$23,948	\$24,786	\$25,654	\$26,552	\$27,481	\$28,443	\$29,439
Annual Subtotal GL MUD 1:													\$22,356	\$23,138	\$23,948	\$24,786	\$25,654	\$26,552	\$27,481	\$28,443	\$29,439
Annual Subtotal GL MUD 2:													\$22,356	\$23,138	\$23,948	\$24,786	\$25,654	\$26,552	\$27,481	\$28,443	\$29,439
Annual Subtotal GL MUD 4:													\$22,356	\$23,138	\$23,948	\$24,786	\$25,654	\$26,552	\$27,481	\$28,443	\$29,439
Annual Subtotal WW Collection:													\$67,068	\$69,415	\$71,845	\$74,378	\$76,996	\$79,699	\$82,387	\$85,060	\$87,718

Notes:	
(1)	Inflation rate used is 3.5%
(2)	The estimated tariff adjustment factors are below: - Electrical: 25% - Steel: 20% - Pumps/Blowers: 15% - Coatings/Resin: 10% - Chemicals: 6%
(3)	Valve surveys, and interconnect testing/replacement is not included in this CIP. These costs are
(4)	This CIP is a budgetary tool and should be reviewed annually to reassess priorities.

	Improvements Authorized, Underway or Completed	Proposed upcoming improvements
	Upgrades Beyond Normal Wear and Tear	Condition Assessment Pending
	Operator-Maintained Assets	

10 YEAR CAPITAL IMPROVEMENTS PLAN (CIP)
GRAND LAKES MUNICIPAL UTILITY DISTRICT
OCTOBER 2025

Revised 8/3/2026

	Grand Lakes 1 Share	Grand Lakes 2 Share	Grand Lakes 4 Share	Estimated Construction/ Maint. Cost (2025 dollars)	Contingencies (20%)	Estimated Engineering Cost (15%)	Total Cost (2025 dollars)	Year of Construction/L ast Rehab	Approx. Service Life (Years)	Year of Proposed Impr.	2025 FYE August	2026 FYE August	2027 FYE August	2028 FYE August	2029 FYE August	2030 FYE August	2031 FYE August	2032 FYE August	2033 FYE August	2034 FYE August	10 Year CIP Totals
IX. Storm Sewer Collection System																					
A. Grand Lakes 1 - Storm Sewer Manhole and Inlet Rehabilitation	100.00%	0%	0%	\$240,000	\$48,000		\$288,000	2007	50			\$298,080		\$319,311		\$342,054					\$959,444
B. Grand Lakes 1 - Storm Sewer Outfall Inspections	100.00%	0%	0%		\$8,100		\$8,100		50			\$8,384									\$8,384
C. Grand Lakes 2 - Storm Sewer Manhole and Inlet Rehabilitation	0%	100.00%	0%	\$240,000	\$48,000		\$288,000	2007	50			\$298,080		\$319,311		\$342,054					\$959,444
D. Grand Lakes 2 - Storm Sewer Outfall Inspections	0%	100.00%	0%	\$8,500	\$1,700		\$10,200		50				\$10,926								\$10,926
E. Grand Lakes 4 - Storm Sewer Manhole and Inlet Inspections	0%	0%	100.00%	\$36,000	\$7,200		\$43,200	2007	50		\$43,200		\$46,277								\$89,477
F. Grand Lakes 4 - Storm Sewer Outfall Inspections	0%	0%	100.00%	\$4,500	\$900		\$5,400		50			\$5,400		\$5,987							\$11,387
Annual Subtotal GL MUD 1:												\$306,464		\$319,311		\$342,054					\$967,828
Annual Subtotal GL MUD 2:												\$298,080	\$10,926	\$319,311		\$342,054					\$970,371
Annual Subtotal GL MUD 4:											\$48,600		\$46,277	\$5,987							\$100,864
Annual Subtotal Storm Collection:											\$48,600	\$604,544	\$57,203	\$644,609		\$684,107					\$2,039,063

X. Potable Water System																					
A. Water Line Replacement at Fry Rd. and Peek Rd. ⁽⁶⁾	25.0000%	50.0000%	25.0000%	\$307,725	\$61,545	\$55,391	\$424,661	2025	50			\$439,524									\$439,524
B. Grand Lakes 1 - Valve Exercise	100.00%	0%	0%	\$2,500	\$500	\$450	\$3,450								\$1,959			\$4,389			\$11,919
C. Grand Lakes 1 - Remove and Replace Valves	100.00%	0%	0%	\$398,400	\$79,680	\$71,712	\$549,792	2020	30-50			\$569,035		\$630,899		\$699,489					\$1,899,423
D. Grand Lakes 2 - Valve Exercise	0%	100.00%	0%	\$2,500	\$500	\$450	\$3,450								\$1,959			\$4,389			\$11,919
E. Grand Lakes 2 - Remove and Replace Valves ⁽⁵⁾	0%	100.00%	0%	\$398,400	\$79,680	\$71,712	\$549,792	2020	30-50			\$569,035		\$630,899		\$699,489					\$1,899,423
F. Grand Lakes 4 - Valve Exercise	0%	0%	100.00%	\$2,500	\$500	\$450	\$3,450								\$1,959			\$4,389			\$11,919
G. Grand Lakes 4 - Remove and Replace Valves	0%	0%	100.00%	\$398,400	\$79,680	\$71,712	\$549,792	2020	30-50			\$569,035		\$630,899		\$699,489					\$1,899,423
Annual Subtotal GL MUD 1:												\$682,486		\$634,858		\$699,489		\$703,878			\$2,021,223
Annual Subtotal GL MUD 2:												\$792,367		\$634,858		\$703,878					\$2,131,104
Annual Subtotal GL MUD 4:												\$682,486		\$634,858		\$703,878					\$2,021,223
Annual Subtotal Potable Water:												\$2,157,340			\$1,904,574		\$2,111,635				\$6,173,549

XI. Reclaimed Water System																					
A. Irrigation System Controller Automation	24.146%	38.996%	36.858%	\$40,000	\$8,000	\$7,200	\$55,200	2020	50		\$55,200	\$57,132	\$59,132	\$61,201	\$63,343	\$65,560	\$67,855	\$70,230	\$72,688	\$75,232	\$647,573
B. SH 99 Frontage Road Reclaimed Water Line Relocation	24.146%	38.996%	36.858%	\$295,278	\$59,056	\$53,150	\$407,484	2020	50			\$421,746									\$421,746
Annual Subtotal GL MUD 1:											\$13,329	\$115,630	\$14,278	\$14,778	\$15,295	\$15,830	\$16,384	\$16,958	\$17,551	\$18,166	\$258,198
Annual Subtotal GL MUD 2:											\$21,526	\$186,743	\$23,059	\$23,866	\$24,701	\$25,566	\$26,461	\$27,387	\$28,345	\$29,337	\$416,991
Annual Subtotal GL MUD 4:											\$20,346	\$176,505	\$21,795	\$22,558	\$23,347	\$24,164	\$25,010	\$25,885	\$26,791	\$27,720	\$394,129
Annual Subtotal Reclaimed Water:											\$55,200	\$478,878	\$59,132	\$61,201	\$63,343	\$65,560	\$67,855	\$70,230	\$72,688	\$75,232	\$1,069,318

Notes:	
(1) Inflation rate used is 3.5%	
(2) The estimated tariff adjustment factors are below:	
- Electrical: 25%	
- Steel: 20%	
- Pumps/Blowers: 15%	
- Coatings/Resin: 10%	
- Chemicals: 6%	
(3) Valve surveys, and interconnect testing/replacement is not included in this CIP. These costs are assumed to be included in the operator's annual budget.	
(4) This CIP is a budgetary tool and should be reviewed annually to reassess priorities.	
(5) MDS replaced valves in Grand Lakes 2.	
(6) IN 2025, MDS performed a point repair to address water line leak at the intersection of Fry Rd. and Peek Rd.	

Annual Subtotal GL MUD 1:	\$96,373	\$1,146,231	\$1,870,160	\$3,194,621	\$2,918,682	\$890,432	\$566,216	\$850,608	\$640,445	\$157,181	\$12,330,949
Annual Subtotal GL MUD 2:	\$100,490	\$1,321,089	\$2,034,966	\$2,355,128	\$2,984,397	\$2,037,527	\$1,833,527	\$2,081,701	\$701,626	\$171,624	\$15,622,074
Annual Subtotal GL MUD 4:	\$152,577	\$905,577	\$2,401,931	\$3,276,527	\$1,996,647	\$1,804,887	\$2,001,052	\$856,483	\$2,105,129	\$163,474	\$15,664,284
ANNUAL TOTALS:	\$349,440	\$3,372,897	\$6,307,059	\$8,826,279	\$7,899,727	\$5,363,865	\$4,400,796	\$3,788,792	\$3,447,202	\$492,279	\$44,248,334

Annual Average GL MUD 1:	\$1,233,095	Max Annual GL MUD 1:	\$3,194,621
Annual Average GL MUD 2:	\$1,562,207	Max Annual GL MUD 2:	\$2,984,397
Annual Average GL MUD 4:	\$1,566,428	Max Annual GL MUD 4:	\$3,276,527

Improvements Authorized, Underway or Completed	Proposed upcoming improvements
Upgrades Beyond Normal Wear and Tear	Condition Assessment Pending
Operator-Maintained Assets	